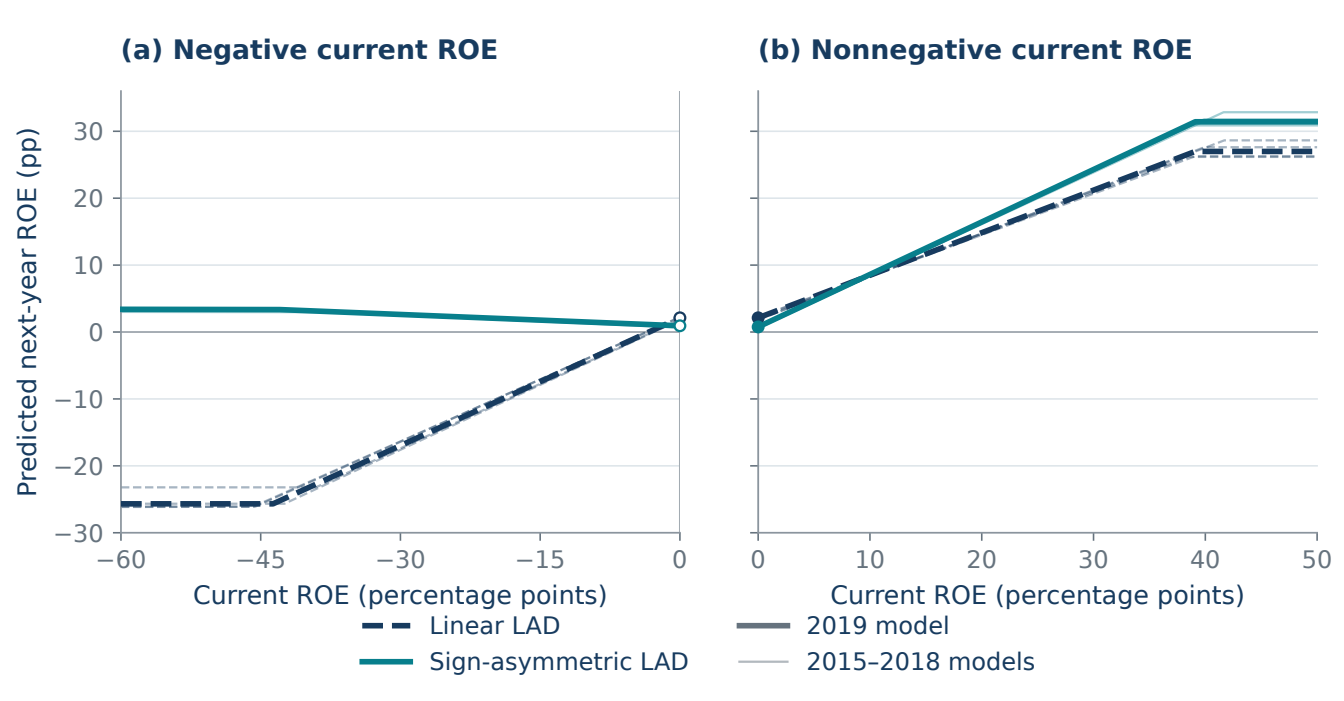
(a) Negative current ROE
(b) Nonnegative current ROE
Predicted next-year ROE (pp)
30
20
10
0
−10
−20
−30
−60
−45
−30
−15
0
10
20
30
40
50
Current ROE (percentage points)
Current ROE (percentage points)
Linear LAD
Sign-asymmetric LAD
2019 model
2015–2018 models